

Accounting Business and Society

–Accounting Receivables

WEEK5

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Key concepts

- 01** Recording & Reporting Account Receivables
- 02** Accounting for uncollectible receivables
- 03** Methods for estimating Bad Debt Expense

#1 Recording & Reporting Account Receivables

Revenue recognition

- Revenue recognized when earned
 - Goods delivered
 - Services performed
- Recorded at the amount of:
 - Cash received, or
 - Fair market value of assets received in the exchange

Recording & Reporting Account Receivables

Accounts Receivable

- Current assets
- Sometimes called trade receivables
- Serves as a control account
 - Summarizes total receivable for each customer
 - Subsidiary ledger kept with separate account for each customer

#1 Recording & Reporting Account Receivables

Journal entries to record receivables

Performing a Service on Account

Accounts Receivable.....	XXX	
Service Revenue.....		XXX
<i>Performed a service on account.</i>		

Lending Money on a Note Receivable

Notes Receivable.....	XXX	
Cash.....		XXX
<i>Loaned money to another company.</i>		

#1 Recording & Reporting Account Receivables

General Ledger		Accounts Receivable Subsidiary Ledger	
Accounts Receivable		Brown	
Balance	9,000	Balance	5,000
Total \$9,000		FedEx	
		Balance	1,000
		Moody's	
		Balance	3,000

Recording & Reporting Account Receivables

Assume Apple, Inc., delivers a truckload of iPhones to an AT&T Wireless warehouse in Florida. On the truck are 30,000 iPhones, each of which Apple, Inc., sells to AT&T Wireless for \$100 on account. Apple, Inc. will allow a 2% discount if paid within 30 days:

Date	Accounts	Debit	Credit
	Accounts receivable	3,000,000	
	Sales revenue		3,000,000
	To record Sales of 30,000 iPhones for \$100 each		

Recording & Reporting Account Receivables

Each iPhone that Apple, Inc. delivered to AT&T had a cost of \$60.

A1				
	A	B	C	D
1		Cost of Goods Sold	1,800,000	
2		Inventory		1,800,000
3		<i>To record cost of products sold (\$60 × 30,000)</i>		
4				

Recording & Reporting Account Receivables

Collection within the Discount Period

Assume AT&T fulfills its obligation to pay within the discount period:

Date	Accounts	Debit	Credit
	Cash	2,940,000	
	Sales discounts	60,000	
	Accounts receivable		3,000,000
	Discount provided for early payment		

Apply GAAP for Proper Revenue Recognition

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Collection Outside of the Discount Period

Now, assume AT&T does not fulfill its obligation to pay within the discount period:

Date	Accounts	Debit	Credit
	Cash	3,000,000	
	Accounts receivable		3,000,000
	Collection outside of the Discount Period		

Recording & Reporting Account Receivables

- **Sales Refunds, Returns, and Allowances**
 - Customer's right to return unsatisfactory or damaged goods
 - Credit memo – document authorizing a credit to the customer's account receivable

Recording & Reporting Account Receivables

Suppose Cox Department Store allows customers to return merchandise within 60 days for a full refund. In June, the store's total sales are \$2,000,000 (credit sales). The cost of merchandise sold is \$1,200,000.

Date	Accounts	Debit	Credit
	Accounts receivable	2,000,000	
	Sales revenue		2,000,000
	To record Sales on credit for merchandise		
	Cost of goods sold	1,200,000	
	Inventories		1,200,000
	To record cost of goods sold		

Recording & Reporting Account Receivables

In July, within the allowable return period, customers returned merchandise of \$90,000 that cost \$54,000 for refund.

Date	Accounts	Debit	Credit
	Sales return and allowance	90,000	
	Accounts Receivable		90,000
	To record merchandise being returned		
	Inventories	54,000	
	Cost of goods sold		54,000
	To record merchandise being returned		

Recording & Reporting Account Receivables

Companies normally disclose sales revenue at the net amount (after sales discounts, returns, and allowances have been subtracted).

A1				
	A	B	C	D
1	Apple, Inc.			
2	(2014, Adapted)			
3	Net revenue (in millions)	2014	2013	2012
4		\$ 182,795	\$ 170,910	\$ 156,508

2# Accounting for Uncollectible Accounts

Credit Sales

- Benefits

- Customers can buy on credit, so sales and profits increase

- Costs

- Company cannot collect from some customers
- Recorded as uncollectible-account expense

Accounting for Uncollectible Accounts

Direct Write-Off Method

Records expense when specific customer's account proves to be uncollectible.

Early in fiscal 2015, Apple, Inc.'s credit department determines that Apple, Inc., cannot collect from RS and TM. Apple, Inc., then writes off these receivables. The journal entry to write off RS and TM using the direct write-off method is as follows:

A1				
	A	B	C	D
1	2015			
2	Jan 31	Uncollectible-Account Expense	12	
3		Accounts Receivable—RS		9
4		Accounts Receivable—TM		3
5		<i>Wrote off uncollectible accounts by direct write-off method.</i>		
6				

Accounting for Uncollectible Accounts

Direct Write-Off Method

- Alternative way to account for uncollectible receivables
- Less preferable, not in conformance with GAAP
 - No allowance for uncollectible → may overstate assets on the balance sheet
 - Fails to recognize uncollectible accounts in the same period in which the related revenue is earned

Accounting for Uncollectible Accounts

Allowance Method

- Records losses from failure to collect receivable
- Based on company's past collection experiences
- Record Uncollectible-Account Expense
- Set up contra-account
 - Allowance for Uncollectible Accounts
 - Shows the amount the business expects not to collect

Accounting for Uncollectible Accounts

Allowance Method

- step1 Record the estimate of bad debt expense

Date	Accounts	Debit	Credit
	Bad debt expense	\$\$\$	
	Allowance for doubtful Debts		\$\$\$
	To record for bad debt expense		

Accounting for Uncollectible Accounts

Allowance Method

- step2 Write-off A/R when it becomes uncollectible

Date	Accounts	Debit	Credit
	Allowance for doubtful Debts	\$\$\$	
	Accounts Receivable		\$\$\$
	To record write off		

Accounting for Uncollectible Accounts

Accounts receivable.....	\$10,000
Less: Allowance for uncollectible accounts	<u>(900)</u>
Accounts receivable, net.....	9,100

Accounting for Uncollectible Accounts

Income statement (partial):

Expenses:

Uncollectible-account expense:.....	\$2,000
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3# Methods for estimating Bad debt expenses

Two basic ways to estimate uncollectibles:

- Percent-of-sales method
 - Uncollectible-account expense computed as a percent of revenue
 - Income statement approach
- Aging-of-receivables method
 - Specific accounts are analyzed based on how long they have been outstanding
 - Balance sheet approach

3# Methods for estimating Bad debt expenses

Percent-of-Sales Method

- Assume Apple's accounts have the following balances before the year-end adjustments:

Accounts Receivable	Allowance for Uncollectible Accounts
\$17,546	\$10

3# Methods for estimating Bad debt expenses

Percent-of-Sales Method

Apple's credit department estimates uncollectible-account expense is .0004% of total revenues, which are \$182,795 million.

Estimated % uncollectible $\times$ Sales revenue = Uncollectible-Account Expense

A1				
	A	B	C	D
1	Sep. 27	Uncollectible-Account Expense (\$182,795 $\times$.0004)	73	
2		Allowance for Uncollectible Accounts		73
3		<i>Recorded uncollectible account expense for the year.</i>		
4		<i>Calculations rounded to nearest million.</i>		
5				

3# Methods for estimating Bad debt expenses

Percent-of-Sales Method

Accounts Receivable		Allowance for Uncollectible Accounts	
17,546			10
		Adj	73
		End Bal	83
Net accounts receivable, \$17,463			

Uncollectible-Account Expense	
73	

3# Methods for estimating Bad debt expenses

Aging-of-Receivables Method

Suppose Apple's receivables accounts show the following before the year-end adjustments:

Accounts Receivable	Allowance for Uncollectible Accounts
17,546	10

3# Methods for estimating Bad debt expenses

Age of Account (Dollar amounts rounded to the nearest million)					
Customer	1-30 Days	31-60 Days	61-90 Days	Over 90 Days	Total Balance
Best Buy	~~~~~	~~~~~	~~~~~	~~~~~	~~~~~
Walmart	~~~~~	~~~~~	~~~~~	~~~~~	~~~~~
~~~~~	~~~~~	~~~~~	~~~~~	~~~~~	~~~~~
~~~~~	~~~~~	~~~~~	~~~~~	~~~~~	~~~~~
Totals	\$16,682	\$ 600	\$ 200	\$ 64	\$17,546
Estimated percent uncollectible	<u>× 0.383%</u>	<u>× 1%</u>	<u>× 5%</u>	<u>× 10%</u>	
Allowance for Uncollectible Accounts balance should be	<u>\$ 64*</u>	<u>+</u> <u>\$ 6</u>	<u>+</u> <u>\$ 10</u>	<u>+</u> <u>\$ 6*</u>	<u>= \$ 86</u>

3# Methods for estimating Bad debt expenses

Aging-of-Receivables Method

The aging method will bring the balance of the allowance account (\$10) to the needed amount as determined by the aging schedule (\$86).

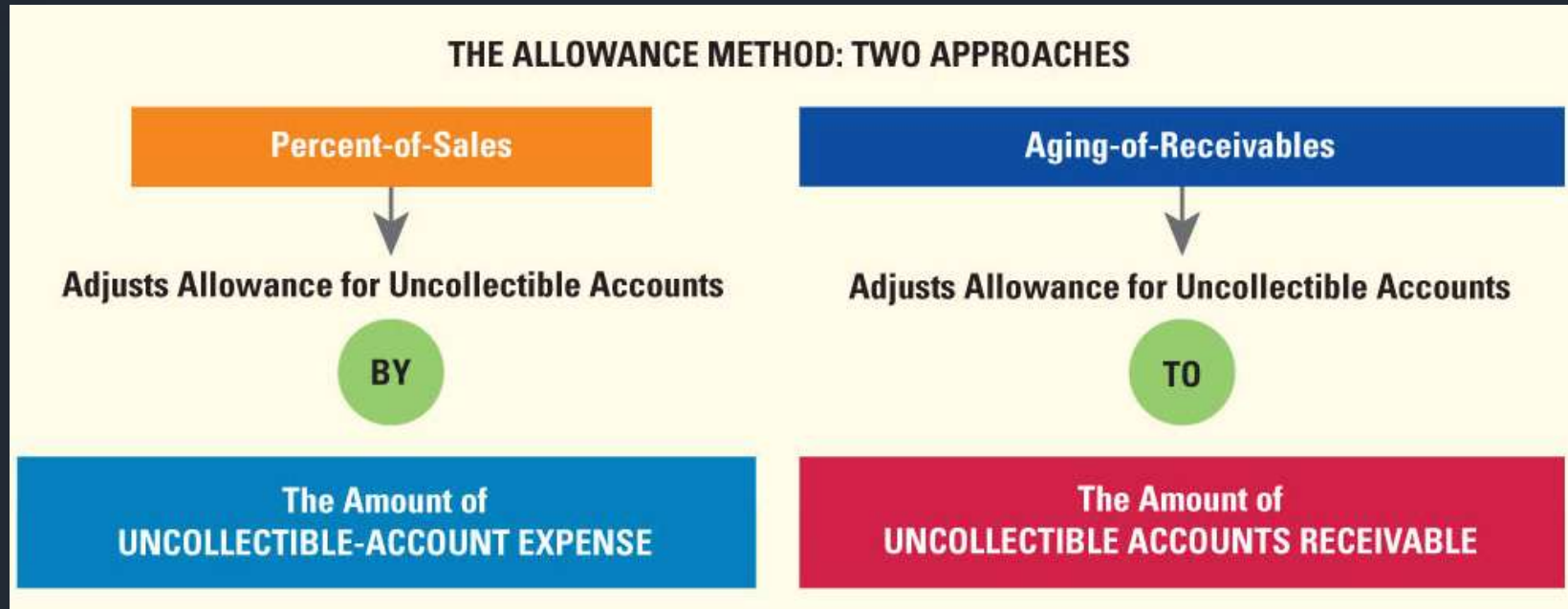
A1				
	A	B	C	D
1	2014			
2	Sep. 27	Uncollectible-Account Expense	76	
3		Allowance for Uncollectible Accounts (\$86 – \$10)		76
4		<i>Recorded uncollectible accounts expense for the year.</i>		
5				

3# Methods for estimating Bad debt expenses

Accounts Receivable		Allowance for Uncollectible Accounts	
17,546			Beg. bal. 10
			Adj. 76
			End Bal 86
Net accounts receivable, \$17,460			

Uncollectible-Account Expense	
76	

Exhibit 5-5 Comparing the Percent-Of-Sales and Aging Methods for Estimating Uncollectible Accounts



Computing Cash Collections from Customers

Receivables typically hold five items:

Accounts Receivable			
Beg. Bal. (left over from last period)	200	Write-offs of uncollectibles	100**
Sales (or service) revenue on account	1,800*	Collections from customers	$X = 1,500†$
End. Bal. (carries over to next period)	400		

If you know all other items except for collections, you can compute collections by solving for X.

Notes Receivable

- More formal than accounts receivable
- Written promise to pay a sum at the maturity date
 - Plus interest
- Also called **promissory notes**



Notes Receivable

- Can be current or long-term assets
- Terms:

Creditor	Party to whom money is owed; Lender
Debtor	Party that borrowed and owes money; Maker, borrower
Interest	Cost of borrowing money; stated as annual percentage rate
Maturity date	Date when debtor must pay note
Maturity value	Sum of principal and interest
Principal	Amount borrowed by debtor
Term	Length of time from when note was signed to when payment must be made

Exhibit 5-6 Promissory Note

PROMISSORY NOTE

Principal → \$1,000.00 **Amount** → Aug. 31, 2016 **Date** ← Interest period starts

For value received, I promise to pay to the order of

Continental Bank
Chicago, Illinois ← Payee (Creditor)

Principal → One thousand and no/100----- **Dollars**

on February 28, 2017 ← Interest period ends on the maturity date

plus interest at the annual rate of 9 percent ← Interest rate

Laurel Holland ← Maker (Debtor)

Accounting for Notes Receivable (2 of 6)

Consider the promissory note in Exhibit 5-6. After Lauren Holland signs the note, Continental Bank gives her \$1,000 cash. The bank makes the following entry to record the loan.

A1				
	A	B	C	D
1	2016			
2	Aug 31	Note Receivable—L. Holland	1,000	
3		Cash		1,000
4		Made a loan.		
5				

Accounting for Notes Receivable (3 of 6)

Continental Bank earns interest revenue during September, October, November, and December. At December 31, 2016, the bank accrues 9% interest revenue for four months:

A1				
	A	B	C	D
1	Dec 31	Interest Receivable ($\$1,000 \times .09 \times 4/12$)	30	
2		Interest Revenue		30
3		<i>Accrued interest revenue.</i>		
4				

Accounting for Notes Receivable (4 of 6)

Continental Bank reports these amounts in its financial statement at December 31, 2016 as follows:

Balance sheet

Current assets:

Note receivable	\$1,000
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Interest receivable.....	30
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Income statement

Interest revenue	\$ 30
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Accounting for Notes Receivable (5 of 6)

The bank collects the note on February 28, 2017.

A1				
	A	B	C	D
1	2017			
2	Feb 28	Cash	1,045	
3		Note Receivable—L. Holland		1,000
4		Interest Receivable		30
5		Interest Revenue ($\$1,000 \times .09 \times 2/12$)		15
6		<i>Collected note at maturity.</i>		
7				

Note Receivable— L. Holland	
1,000	1,000

Accounting for Notes Receivable (6 of 6)

Interest

- Rates usually expressed as an annual percent
- Fraction used for time periods less than an year
 - Months/12
 - Days/365



Assessment

Tutorial portfolio - Online quizzes:

This quiz is based on the week 5 learning materials. You may complete this anytime during week 5, you may use your study notes.

You have TWO attempts to complete this quiz.

Due time for your weekly quiz is on Canvas, please check it by yourself.